by the City to the California Department of Tax and Fee Administration or otherwise associated with the collection of this tax.

3.28.150 – Accountability Measures.

The chief fiscal officer of the City shall cause a report (the "Report") to be prepared by an independent auditor and to be filed with the City Council no later than June 30 of each year. The Report shall state: (a) the amount of transactions and use taxes collected and expended in such year; and (b) the status of any projects or description of any programs and services funded from proceeds of the transaction and use taxes. The Report may relate to the calendar year, fiscal year, or other appropriate annual period, as the chief fiscal officer of the City shall determine, and may be incorporated into or filed with the annual budget, audit report, or other appropriate routine report to the City Council. For the purposes of this Ordinance, "fiscal year" means the City's fiscal year which begins on July 1 and ends on June 30 of each year.

3.28.160 – Citizens' Oversight Committee.

There is established a Citizens' Oversight Committee consisting of seven (7) members who shall each be residents of the City of Calexico. The Committee shall review the revenues collected by the City from this Ordinance and the expenditures made from such revenues and shall have those additional powers and duties as prescribed by the City Council. Each member of the City Council shall nominate one person to serve on the Committee. The Police Chief and the police officer's association shall nominate one person to serve on the Committee. The Fire Chief and the firefighter's association shall nominate one person to serve on the Committee. Any person nominated shall be confirmed as appointed by majority vote of the City Council. The City Council shall adopt rules for the conduct of the Committee's business.

IMPARTIAL ANALYSIS

CITY OF CALEXICO
CITY ATTORNEY'S IMPARTIAL ANALYSIS OF MEASURE O
1/2% (ADJUSTING TO 1%) SPECIAL TRANSACTIONS AND USE (SALES) TAX FOR TWENTY (20) YEARS TO FUND PUBLIC SAFETY FACILITIES, PROGRAMS AND SERVICES

On July 1, 2026, the City Council unanimously voted to place Measure O on the November 3, 2026 General Municipal Election ballot. By placing Measure O on the ballot, the City complies with Article XIIIC of the California Constitution (Proposition 218) and California Revenue and Taxation Code section 7285.91, which require 2/3 of voters to approve an ordinance that establishes a special retail transactions and use (sales) tax.

If approved by 2/3 of Calexico voters voting on it, Measure O would establish a special retail transactions and use (sales) tax within the City to fund public safety facilities, programs and services. If passed, the rate would initially be one-half percent (1/2%) of the retail sales price,

until Calexico Measure “H” (the City’s current 1/2% general sales tax) expires on September 30, 2030. The rate would then adjust to one percent (1%) of the retail sales price. This special tax would remain in effect for twenty (20) years until it expires on March 31, 2047. Any extension of this tax beyond that date would require 2/3 voter approval at a future City election.

It is estimated that Measure O will provide an additional $4,000,000 in annual local funding when collected at a ½% rate, increasing to $8,000,000 when collected at a 1% rate. Under State law, special tax funds must be deposited in a separate City bank account, annually audited and separately reported, and dedicated to specific City purposes (in contrast to a general tax which may be spent on any valid City expense).

Measure O provides that its funding shall be divided 50%/50% between police/law enforcement/crime prevention purposes and fire/emergency medical response (paramedic/ambulance)/disaster preparedness purposes. Funds in each category may be used to (i) purchase or lease real property, vehicles, equipment and supplies (ii) design, construct, operate, repair and maintain facilities; (iii) pay for salaries, benefits and training of personnel; and (iv) utility expenses, insurance, legal fees and other operational costs of providing facilities, programs and services to the City.

Measure O establishes a seven (7) member Citizens’ Oversight Committee consisting of Calexico residents. The Committee shall be authorized to review the revenues collected by the City from this special tax and the expenditures made from such revenues and report their findings to the City Council.

This tax would be paid in addition to current sales taxes and would be collected at the same time and in the same manner as existing sales taxes. All revenues raised by the tax would remain in the City and would not be shared with the State, County or any other agency.

A “yes” vote on Measure O <u>will</u> authorize the special transactions and use (sales) tax.

A “no” vote on Measure O <u>will not</u> authorize the special transactions and use (sales) tax.

The above statement is an impartial analysis of Measure O. If you desire a copy of the Measure, please call the City’s elections official at (760) 768-2102 and a copy will be mailed at no cost to you.

/s/ LAURA ESTRADA

City Attorney